

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH &
BEYOND INC., *Complainant*

DOCKET NO. 24-12

v.

EVERGREEN LINE JOINT SERVICE AGREEMENT (FMC
#011982) CONSISTING OF EVERGREEN MARINE CORP.
(TAIWAN) LTD.; EVERGREEN MARINE (UK) LIMITED; ITALIA
MARITTIMA SPA; EVERGREEN MARINE (HONG KONG) LTD.;
AND EVERGREEN MARINE (SINGAPORE) PTE. LTD.,
Respondents.

Served: June 26, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge.*

ORDER DENYING MOTION FOR PARTIAL DISMISSAL OF THE COMPLAINT

I. Background

On February 21, 2024, Complainant 20230930-DK-BUTTERFLY-1, Inc., formerly known as Bed Bath and Beyond, Inc. (“BBBY” or “Complainant”) filed a verified complaint alleging violations of the Shipping Act and seeking reparations from Respondents Evergreen Line Joint Service Agreement (FMC #011982), Evergreen Marine Corp. (Taiwan) Ltd., Evergreen Marine (UK) Limited, Italia Marittima SpA, Evergreen Marine (Hong Kong) Ltd., and Evergreen Marine (Singapore) Pte. Ltd. (collectively “Evergreen” or “Respondents”). The complaint consists of four counts:

- Count I alleges a violation of 46 U.S.C. § 41102(c), which prohibits a carrier from failing to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering property. Respondents purportedly failed to meet their service commitments in order to coerce Complainant into paying “Peak Season Surcharges” and other charges in order to obtain the contracted space.
- Count II alleges a second violation of 46 U.S.C. § 41102(c) in connection with allegedly improper detention and demurrage charges.
- Count III alleges a violation of 46 U.S.C. § 41104(a)(2), which prohibits a common carrier from providing service not in accordance with its tariff or service contract. The factual basis for Count III is the same as the basis for Count I.
- Count IV alleges a violation of 46 U.S.C. § 41104(a)(10), which prohibits a common carrier from unreasonably refusing to deal or negotiate, including with

respect to vessel space accommodations. Respondents purportedly refused to negotiate for space on the terms agreed to as a means of coercing extracontractual charges from Complainant and other shippers even though space was available.

On March 11, 2024, in anticipation of a partial motion to dismiss, the parties jointly requested an extension of the time to answer the complaint until after a ruling on the motion. I granted this request. On March 18, 2024, Respondents filed a partial motion to dismiss Counts I, III, and IV. The Respondents argue that these counts are essentially breach of contract claims over which the Commission lacks jurisdiction. On April 2, 2024, Complainant filed its opposition, arguing that Respondents were attempting to recast its claims as breach of contract claims, when in fact the claims arise under the Shipping Act, over which the Commission has exclusive jurisdiction, and that the complaint sufficiently states a claim with respect to each count. Respondents filed a reply on April 9, 2024. For the reasons set forth below, the motion is **DENIED**.

II. Discussion

A. Motion to Dismiss Standard

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 states that the Federal Rules of Civil Procedure ("FRCP") will be followed in instances that are not covered by the Rules, to the extent that application of the FRCP is consistent with sound administrative practice. 46 C.F.R. § 502.12. Respondents' motion is premised on the argument that the Commission lacks jurisdiction to adjudicate Complainant's claims, which are claims for breach of service contracts. Mot. to Dismiss, p. 5. The Commission looks to FRCP 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 WL 6445041, at *4 (FMC Oct. 29, 2020). Under FRCP 12(b)(1), there are two types of jurisdictional attacks: (1) a factual attack, which challenges the existence of subject matter jurisdiction using material extrinsic from the pleadings, such as affidavits or testimony; and (2) a facial attack, in which a respondent's challenge is confined to whether the complainant has sufficiently alleged a basis of subject matter jurisdiction. *Stalley ex rel. U.S. v. Orlando Reg'l Healthcare Sys., Inc.*, 524 F.3d 1229, 1232–33 (11th Cir. 2008); *see also Osborn v. United States*, 918 F.2d 724, 729-730 (8th Cir. 1990).

Where, as here, a respondent challenges the sufficiency of the allegations regarding subject matter jurisdiction—a facial challenge—a court will employ the *Twombly-Iqbal* "plausibility" standard, which is the same standard used to evaluate facial challenges to claims under FRCP 12(b)(6). *Pena v. Ortiz*, 521 F. Supp. 3d 747, 750 (N.D. Ill. 2021). Under this plausibility standard, the Commission will dismiss a claim if the complainant fails to plead "enough facts to state a claim for relief that is plausible on its face." *Maher Terminals, LLC v. the Port Auth. of New York and New Jersey*, Docket No. 12-02, 2015 WL 9426189, at *12 (FMC Dec. 18, 2015) (*quoting Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 570, (2007)). Facial plausibility requires factual content that allows a court "to draw the reasonable inference that the defendant is liable for the misconduct alleged." *Id.* (*quoting Ashcroft v. Iqbal*, 556 U.S. 662, 678

(2009)). The factual content includes the facts alleged in the complaint, documents attached to or incorporated by reference in the complaint, and matters subject to official notice (including judicially noticeable facts and “technical or scientific facts within the general knowledge of the Commission”). *Id.* at *41 (citing *Farah v. Esquire Magazine*, 736 F.3d 528, 534 (D.C. Cir. 2013); *Chambers v. Time Warner, Inc.*, 282 F.3d 147, 153 (2d Cir. 2002); 46 C.F.R. § 502.226(a)).

To allow the necessary inferences to be reasonably drawn, the complaint’s factual allegations must be more than speculative, more than merely consistent with a respondent’s liability, and must “nudge claims across the line from conceivable to plausible.” *Id.* (quoting *Elemary v. Holtzmann*, 533 F. Supp. 2d 116, 130 (D.D.C. 2008)). The plausibility standard is not a probability requirement – while actual proof of the alleged facts may be improbable, and recovery may seem remote and unlikely, the standard does not require the pleading of specific evidence or extra facts beyond what is needed to make the claim plausible. *Id.*

While this standard does not require detailed factual allegations, it does require more than labels, conclusions, or a recitation of the elements of a cause of action. *Id.* The Commission need not accept as true legal conclusions or draw inferences that are not supported by the allegations. *Id.* Legal conclusions can provide the framework of the complaint, but they must be supported by factual allegations. *Id.* at *13. The factual allegations needed to reach plausibility will vary depending on the complexity of the case and require the presiding officer to draw on judicial experience and common sense. *Id.*

B. Count I – Unreasonable Practices (46 U.S.C. 41102(c))

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, after notice and comment, the Commission issued Rule 545.4 (the “Interpretive Rule”), specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and

(e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4. As to the first element, Respondents do not dispute that they are “ocean common carriers” as set forth in the complaint. Compl., ¶¶ 15-20. Nor is there any dispute that the conduct alleged in the complaint is related to “receiving, handling, storing, or delivering property.”

The Respondents argue that the complaint does not allege that the disputed conduct is occurring on a “normal” basis because it occurred only during the COVID-19 pandemic, a time when Respondents “faced unprecedented challenges.” Mot. to Dismiss, p. 12, citing Compl., ¶ 4. They also contend that, since the Complainant does not allege that Respondents are currently engaging in the conduct as of the filing of the complaint, it is not “continuous.” Reply, p. 5. Whether the challenges faced by Respondents as a result of the pandemic were sufficiently abnormal to excuse the alleged practices is a question of fact more closely related to the question of whether they were “unjust or unreasonable,” as discussed below.

As for whether the complaint alleges sufficient “continuity” – which Respondents argue also means “current” as of the date of the complaint – to survive a motion to dismiss, the Shipping Act prohibits a common carrier from failing “to establish, observe, and enforce just and reasonable regulations and practices.” 46 U.S.C. 41102(c). It does not expressly require that the failure be currently continuing as of the date a party files a complaint with the Commission, nor do Respondents cite any Commission case establishing such a requirement. Their argument relies on the text in the Interpretive Rule, which requires that the “claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4(b). Interpretive regulations, generally, are not intended to impose new legal obligations, but to advise the public of the agency’s construction of the statutes and rules it administers. *Perez v. Mortg. Bankers Ass’n*, 575 U.S. 92, 96-97 (2015). Nothing in the history of the Interpretive Rule demonstrates an intent to impose a new requirement, particularly one that would allow a respondent to suspend an unreasonable practice in response to a complaint, then avoid liability regardless of how regular the practice had previously been.

The intent of the Interpretive Rule was not to impose any new requirement regarding continuity, but to advise the public of the Commission’s construction of the word “practice” in 46 U.S.C. § 41102:

It is this line of recent cases determining that a discrete failure to observe and enforce an established just and reasonable regulation or practice that the Commission seeks to reform in this rulemaking so as to return the scope of § 41102(c) to its proper role and purpose within the Shipping Act. In the future, the Commission intends to follow the reasoning in *Intercoastal Investigation*, *Altieri*, *Stockton Elevators*, *European Trade Specialists*, *Deringer*, and *Kamara* which offer precedent as to what properly applies the full meaning and purpose of “establish, observe, and enforce just and reasonable regulations and practices” under the Shipping Act and a violation of § 41102(c).

Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367, 43569-43570 (Sep. 8, 2018).

None of the cases cited in the NPRM impose a requirement that an allegedly unjust or unreasonable “practice” be continuing as of the date of the complaint to qualify as a practice. *Intercoastal Investigation* simply describes a practice as “an often repeated and customary action.” *Intercoastal Investigation*, 1935, 1 U.S.S.B.B. 400, 432 (1935). In *J.M. Altieri*, the presiding officer found that, although respondent’s withholding of money owed to complainant to offset a disputed claim of respondent against complainant was clearly unlawful, it was “an isolated or ‘one shot’ occurrence,” and therefore not a “practice” within the meaning of the Shipping Act. *J.M. Altieri v. Puerto Rico Ports Authority*, 7 F.M.C. 416, 419-420 (ALJ Oct. 18, 1962). In *Stockton Elevators*, the Commission described a “practice” as “something habitually performed and it implies continuity...the usual course of conduct. It is not an occasional transaction....” *Investigation of Certain Practices of Stockton Elevators*, 3 S.R.R. 605, 618 (FMC June 30, 1964). In *European Trade Specialists*, the allegation was that the freight forwarder had failed to notify the shipper of the dispute as to the applicable tariff rate for their commodities. The ALJ found that the freight forwarder’s normal practice was to notify shippers of such disputes, that they had reached out to complainant for additional information regarding the classification of their shipment, and even if they had not, the failure to do so was a single incident, and so not a “practice” but went on to observe that even if they had not, that there would be no violation. *European Trade Specialists v. Prudential-Grace Lines*, 17 S.R.R. 1351, 1364 (ALJ Nov. 1, 1977) (*affirmed European Trade Specialists v. Prudential-Grace Lines*, 19 S.R.R. 59, 63 (FMC 1979)). In *A.N. Deringer*, the settlement officer noted that “an alleged violation of Section 10(d)(1) requires more than the showing of unjust or unreasonable activity,” requiring proof of failure to enforce reasonable regulations and practices. *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, 25 S.R.R. 1273, 1276 (SO Nov. 14, 1990). The respondent’s failure to specify the number of cartons on the bill of lading, which resulted in limitation of liability to loss for one carton rather than the 12 that were actually lost, was “an isolated error.” *Id.* In *Kamara*, the settlement officer held that a carrier’s failure to remit payment to a subcontracting carrier did not constitute a Shipping Act violation, although the shipper would have a contractual claim, since Section 10(d)(1) was not intended to cover “isolated error or understandable misfortune,” but rather a “pattern of behavior.” *Kamara v. Honesty Shipping Service*, 29 S.R.R. 321, 322 fn 8 (SO July 26, 2001). These cases highlighted by the Commission in enacting the Interpretive Rule show that the point of requiring continuity in a respondent’s conduct is to assist in determining whether it was a “practice” for purposes of the statute, as opposed to an isolated incident – not to impose a requirement that a complainant plead ongoing conduct as of the time of filing.

In *MCS Industries*, the ALJ found that complainants sufficiently alleged a practice where the complaint was similarly limited to the COVID-19 time period. *MCS Industries v. COSCO Shipping Lines Co., Ltd.*, Docket No. 21-05, 2022 WL 458569, at *6 (ALJ Feb. 4, 2022) (Order on Motion to Amend Complaint and Motion to Dismiss), *affirmed MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024); see also FMC Docket No. 21-05, Compl., ¶¶ 2, 35, and 42. The complaint in this case describes allegedly unreasonable acts related to Count I occurring repeatedly from August 18, 2020 through January 4, 2022. Compl., ¶¶ 36, 52. This is sufficiently continuous to establish, at the pleading stage, that the conduct was not isolated, occasional, or accidental.

As to the next element, whether the acts are unjust or unreasonable, the complaint alleges that Respondents systematically failed to make cargo space available under their service contracts with Complainants, in favor of carrying higher-priced freight, although they were fully able to meet their commitments under the service contracts. The aim of this practice was to force shippers who had agreed-to space onto the spot market, and to pay higher prices. Or to extract concessions from shippers in the form of extracontractual “Peak Season Surcharges” (which Respondents sought to disguise) in order to carry Complainant’s cargo, at which point the situation devolved into outright auctioning of contracted space. Complainants allege that Respondents entered these contracts with no intention of ever satisfying them. Compl., ¶¶ 49-53.

On its face, this is sufficient to state a claim for unreasonable conduct. *See MCS Industries*, 2022 WL 458569 at *4 (complaint alleging failure to maintain or provide booking reports, preferring higher-priced cargo over performing on its service contracts, and coercing peak season surcharges as a precondition to carry contracted cargo was sufficient to allege Shipping Act claim distinct from any breach of contract claim). Respondents argue that the conduct was, as a matter of law, reasonable because of the COVID-19 pandemic, particularly because other carriers were engaging in the same practices. Mot. to Dismiss, pp. 13-14. But this argument is not appropriate for resolution on a motion to dismiss. Whether in fact Respondents entered into service contracts with no intention of honoring them, then used the COVID-19 pandemic as an excuse to coerce shippers into bidding for their contracted space by paying extracontractual surcharges in an auction with other shippers is a question of proof, as is the question of whether this behavior was reasonable because other carriers may have done it too.

Respondents’ argument regarding causation, the final element, is closely tied to the reasonableness argument, in that they contend it was the pandemic, not their actions, that resulted in Complainant’s losses. Mot. to Dismiss, p. 15. Again, whether it was the pandemic, or Respondents’ purportedly unreasonable response to the pandemic, that resulted in the losses is a factual matter for resolution following discovery.

To the extent Respondents’ general argument regarding the Commission’s lack of jurisdiction to resolve breach of contract claims (Mot. to Dismiss, pp. 5-10) is intended to apply to Count I, I find that Count I adequately alleges Shipping Act claims as discussed above. The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000). The Commission must address allegations of violations of the Shipping Act, which are within its exclusive jurisdiction; no common law remedy exists for such violations. *Id.* The Commission’s obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, and even where the parties have already obtained relief for those claims in another forum. *MCS Industries, Inc. v. Mediterranean Shipping Company S.A.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *10-11 (FMC May 10, 2006). Shipping Act claims are distinct from breach of contract claims, entailing

a different analysis of statutory standards that includes review of the carrier's broader practices beyond those directly affecting the complainant. *MCS Industries*, 2024 WL 95383, at *7. This means that even if Complainant's claims in Count I may state a claim for breach of contract in another forum, since they also state a claim for violation of 46 U.S.C. § 41102(c), the Commission has jurisdiction over the claim.

C. Count III – Service not in accordance with a published tariff or service contract (46 U.S.C. § 41104(a))

Count III alleges violation of 46 U.S.C. § 41104(a), the relevant portion of which provides:

(a) In general.--A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not—

* * *

(2) provide service in the liner trade that is—

(A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title... .

46 U.S.C. § 41104(a). The Act also provides that, “[u]nless the parties agree otherwise, the exclusive remedy for breach of a service contract is an action in an appropriate court.” 46 U.S.C. § 40502(f). Respondents argue that Count III is essentially a breach of contract claim, and that Complainant's reliance on *MCS Industries* for the proposition that the Commission has jurisdiction over § 41104(a) claims that arise in the context of a relationship governed by a service contract is misplaced because neither the ALJ nor the Commission “addresses how to reconcile the glaring conflict between [46 U.S.C. § 41104(a) and § 40502(f)]” in that case. Reply, pp. 6-7.

The Commission resolved this “glaring conflict” over twenty years ago in *Cargo One*. In that case, the Commission reconsidered its precedent and sought to give effect to § 40502(f) without allowing carriers to use the section as a shield to Shipping Act liability in any scenario where unfair, discriminatory, or otherwise unreasonable conduct arises in the context of a service contract:

The broad *Vinmar[, Inc. v. China Ocean Shipping Company]*, FMC Docket No. 91-43, 26 S.R.R. 420 (FMC 1992)] language creates other anomalies as well. For example, a party to a service contract who has not breached the contract could be subject to Shipping Act claims, while a party who has breached the contract would not be subject to a Shipping Act claim relating to the breach, or perhaps even tangentially related to the contract. Moreover, a party to a service contract may effectively lose its opportunity to bring a Shipping Act claim merely because that party chose to ship under a service contract. In effect, because any violation

of a Prohibited Act while a contract is in effect is likely also to relate to a breach, this interpretation largely exempts contracting parties from liability under the Shipping Act during the course of a service contract's effectiveness. To the extent a breach of contract claim and a Shipping Act claim are coextensive, this would not necessarily be problematic. However, we find that in the Commission's discussion of section 8(c) [now codified at 46 U.S.C. § 40502(f)] in *Vinmar*, insufficient consideration was given to the fact that a number of Prohibited Acts enumerated in section 10 hinge primarily on elements and factors beyond those issues which overlap with a breach of contract allegation. There may, for example, be claims of undue discrimination, undue preference, undue prejudice or unreasonableness within the meaning of the Shipping Act, which are distinctly within the sphere of expertise Congress expected the Commission to utilize.

Cargo One, Inc. v. COSCO Container Lines Company, Ltd., FMC Docket No. 99-24, 2000 WL 1648961, *13 (FMC Oct. 31, 2000). The Commission was fully aware of the need to avoid defining away § 40502(f) and extending its jurisdiction to simple claims for breach of a service contract, and articulated a test:

For section 8(c) to have meaning, it must have been intended to preclude the filing of some complaints of Shipping Act violations, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event. Thus, it is “reasonable to construe [s]ection 8(c) to apply to actions alleging a violation of the 1984 [Shipping] Act.” *Vinmar* at 424. However, we find it inappropriate and contrary to the intent of the statute that section 8(c) bar any Shipping Act claim which bears some similarity to, overlaps with, or is couched in terms suggesting that the remedy may be available in a breach of contract action. We believe the more appropriate test is whether a complainant's allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act. We find that as a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim. In contrast, where the alleged violation raises issues beyond contractual obligations, the Commission will likely presume, unless the facts as proven do not support such a claim, that the matter is appropriately before the agency.

Cargo One, Inc., 2000 WL 1648961, at *14.

Contrary to Respondents' assertion that *MCS Industries* did not address the *Cargo One* test, the ALJ not only articulated the test, but further explained that the Commission in fact has an obligation to hear well-pleaded Shipping Act claims, over which it has exclusive jurisdiction:

To elaborate, section 8(c) of the Shipping Act, now codified at 46 U.S.C. § 40502(f), provides: “Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” In *Cargo One*, the question was whether this provision precluded

Commission jurisdiction over complaints alleging Shipping Act violations related to service contracts.

While section 8(c) reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address those matters are not authorized to address Shipping Act matters exclusively within the Commission's jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action. Moreover, as noted supra, reliance on the Commission to pursue such violations sua sponte in its investigatory role would eviscerate the reparations remedy afforded complainants by the statute. Therefore, we find that the ALJ should proceed to consider those claims.

Cargo One, [Inc. v. Cosco Container Lines Co. Ltd, 28 S.R.R. 1635, 1645 (FMC 2000).]

Relying on the principles stated in *Cargo One*, the Commission has held that jurisdiction over a complaint alleging violations of the Shipping Act exists even though a proceeding in another forum may have resolved some issues between the parties. For instance, prior to filing its complaint with the Commission, one complainant had sought and obtained an arbitration award of several hundred thousand dollars against the Commission respondent. The complainant filed a complaint with the Commission alleging Shipping Act violations and seeking another million dollars. The Commission reversed the order of the administrative law judge dismissing the complaint and remanded for further proceedings on the Shipping Act claims set forth in the complaint. The Commission held that the fact that the service contract between the parties required arbitration:

does not outweigh the Commission's duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. . . . To preclude Anchor from proceeding with its complaint solely because a private arbitrator previously issued a ruling would be inconsistent with our statutory mandate to hear such complaints.

Anchor Shipping Co. v. Aliança Navegação E Logística Ltda., 30 S.R.R. 991, 998 (FMC 2006). The Commission stated that “[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any disputes previously addressed by the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties.” *Id.* at 999-1000.

Baltic Auto Shipping, Inc. v. Hitrinov, Docket 14-16, 33 S.R.R. 1230, 1232-33 (ALJ Feb. 2, 2015) (Order Denying Request for Stay)).

Thus, the Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the facts alleged may give rise to both breach of contract claims and Shipping Act claims.

MCS Industries, 2022 WL 458569, at *5-6. The ALJ went on to determine that the complainant's allegations that the respondent disregarded service contracts in favor of higher-priced freight and attempted to coerce extracontractual surcharges sufficiently stated a plausible claim for violation of § 41104(a). *Id.* at *7 (*accord OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co KG*, FMC Docket No. 21-11, 2022 WL 538935 at *4 (Feb. 18, 2022)) where complainant was a party to a service contract and alleged that respondents used the COVID-19 pandemic as a cover to deny them contracted space in order to sell that capacity on the inflated spot market, used artificial scarcity to extract additional payments, charged improper demurrage charges, delayed shipments in favor of shippers paying premium rates, and demanded higher rates, allegations went "beyond mere breach of contract claims to comprise allegations of conduct prohibited under the Shipping Act," which the Commission "has an obligation" to address).

Respondents' reliance on *Global Link Logistics, Inc. v. Hapag-Lloyd AG* is misplaced. *Mot. to Dismiss*, pp. 8-9. In that case, the complainant sought renegotiation of contract terms that were no longer commercially advantageous, and the ALJ concluded that § 41104 imposed no renegotiation requirement on carriers. FMC Docket No. 13-07, 2014 WL 5316345, at *18 (ALJ April 17, 2014). The ALJ also found that the peak season surcharge at issue in that case was imposed as part of a change to the carrier's tariff applicable to all shippers including those with whom its service contract incorporated such tariff charges – so it was not discriminatory pursuant to § 41104. *Id.* at *23. As a matter of law, cross-referencing tariff terms in a service contract was not unreasonable because it was expressly permitted by the Commission's regulations. *Id.* at *25-28. The contract's liquidated damages provisions, which the shipper claimed were "unbalanced," were also expressly permitted by the Act. *Id.* at *29. The complainant's remaining allegations amounted to a claim that it had different expectations for the carrier's performance under the contract, based on the parties' course of dealing. The ALJ held that this was inherently a contract claim, with nothing unique to the Shipping Act, over which the Commission therefore lacked jurisdiction. *Id.* at 19-20.

Complainant in this case is not seeking renegotiation of existing terms, is not complaining of application of a policy cross-referenced from Respondents' tariff, and is not merely alleging that they expected different performance levels based on prior dealings. If Complainant was simply alleging that Respondents had not fulfilled their service commitments and this was not in line with Complainant's expectations, then this would likely be the kind of case over which the Commission did not have jurisdiction, as in *Global Link*, since it would be "inherently a breach of contract claim." *Cargo One, Inc.*, 2000 WL 1648961, at *14. But this case is more like *MCS Industries* because, as explained above, Complainant has pleaded claims specific to the Shipping Act. In fact, Complainant's allegations in this case are substantially similar to those in *MCS Industries*, and I find that Count III states a plausible claim for violation of § 41104(a).

D. Count IV – Unreasonable refusal to negotiate (46 U.S.C. § 41104(a)(10))

Count IV alleges a violation of 46 U.S.C. § 41104(a)(10), which prohibits a common carrier from unreasonably refusing to deal or negotiate, including with respect to vessel space accommodations. Proving an unlawful refusal to deal or negotiate under 46 U.S.C. § 41104(a)(10) requires that Complainant show that “(1) the respondent is a common carrier; (2) who actually refused to deal or negotiate; and (3) in doing so acted unreasonably.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Docket No. 16-16, 2020 WL 13512925, at *9 (FMC Oct. 29, 2020). There is no dispute as to the first element, and Complainant alleges that Respondents were non-responsive and failed to deal with Complainant when it came to actually booking the shipments, citing specific failures to respond to Complainant’s inquiries. Comp. ¶¶ 36-39.

Respondents point to the emails quoted in the complaint as evidence of their dealing and negotiation with Complainants. Mot. to Dismiss, pp. 19-20 (citing Compl. ¶¶ 48-52). Simply because the parties exchanged emails regarding vessel space accommodations does not mean, as a matter of law, that the complaint fails to state a claim for unreasonable refusal to deal or negotiate. Complainants characterize these emails as evidence of a refusal to negotiate for space on the terms agreed to as a means of coercing extracontractual charges from Complainants and other shippers, and that this was unreasonable because the space was in fact available. Reading the facts of the complaint in the light most favorable to Complainant, as I am obliged to do, I find that they have set forth a plausible claim for violation of 46 U.S.C. § 41104(a)(10). *See MCS Industries*, 2022 WL 458569 at *9 (where Complainant alleged failure to provide contracted space, book cargo, provide necessary information concerning booking issues, and engaged in scheme to withhold service unless Complainant paid peak season surcharges, complaint alleging specific attempts to book and delayed responses or failure to book was sufficient to state claim under § 41104(a)(10)).

III. Order

For the foregoing reasons, Respondents’ Motion for Partial Dismissal of the Complaint is **DENIED**. Respondents must file their answer to the verified complaint within 10 days of the date of service of this order. 46 C.F.R. § 502.62(b)(1). The parties must also comply with all other deadlines in the Initial Order.

ALEX
CHINTELLA

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Alex M. Chintella
Administrative Law Judge